

FirstFT World

FirstFT: Fed to leave rates higher for even longer

Also in today's newsletter, latest on campus demonstrations and cruise operator Viking's market debut



Federal Reserve chair Jay Powell: 'I think it's unlikely that the next policy rate move will be a hike' © Susan Walsh/AP

Gordon Smith

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Good morning. First, we return to the Federal Reserve's battle against inflation after US central bank chair Jay Powell said yesterday that there had been "a lack of further progress" towards its target.

"It is likely to take longer for us to gain confidence that we are on a sustainable path down to 2 per cent inflation," Jay Powell said after the Fed left its main lending rate at a 23-year high of 5.25 per cent to 5.5 per cent. "I don't know how long it will take."

But Powell also indicated that the central bank was not yet considering increasing interest rates despite a recent uptick in the consumer price index, driven by fuel price rises.

“I think it’s unlikely that the next policy rate move will be a hike,” Powell said.

Powell also pushed back on suggestions that growth could slow while inflation remains above the target — a phenomenon known as stagflation.

“I don’t see the ‘stag’, I don’t see the ‘flation’,” he said. [Read more of his comments and the market reaction.](#)

More on US interest rates: Persistent inflation [presents a problem for Powell and Joe Biden.](#)

Opinion: The Fed is utterly frozen between two poles, [unable to even gesture in either direction](#), writes Robert Armstrong in today’s edition of the Unhedged newsletter.

Want more insight into how rate-setters are fighting inflation? [Sign up](#) for our Central Banks newsletter by Chris Giles if you’re a premium subscriber, or upgrade your subscription [here](#).

Here’s what else I’m keeping tabs on today:

Results: Competition in China will be a major focus for shareholders when Apple releases results. Regeneron, ConocoPhillips, Moderna, New York Stock Exchange-owner Intercontinental Exchange, Amgen, Booking Holdings, Block, Illumina, and Coinbase also report results.

Economic data: US trade deficit for March is published as well as weekly jobless claims and factory orders.

Bank of Canada: Governor Tiff Macklem will testify to the House of Commons Standing Committee on Finance about the bank's latest economic forecasts.

Uber: A multimillion-pound lawsuit will be filed in London's High Court today by London's black-cab drivers [against the US ride-hailing app](#).

Five more top stories

1. University campuses from New York to Los Angeles simmered with rage and recriminations yesterday as they dealt with the fallout from police operations to quash protests over the war in Gaza. UCLA told students to avoid the campus today and tomorrow, with classes scheduled to be held remotely, while New York mayor Eric Adams blamed "outside agitators" for escalating anti-Israel demonstrations at Columbia University. [Here's the latest on the biggest US campus protests since 1968](#).

More on the protests: The demonstrations are overshadowing Donald Trump's trial in New York and amplifying tensions in the Democratic party over the Gaza war. [James Politi reports on how Republicans have seized on the campus protests to attack Biden](#).

Greene threatens to oust Johnson: Rightwing congresswoman Marjorie Taylor Greene has said she will [seek the removal of House Speaker Mike Johnson next week](#) as a civil war within the Republican party escalates.

2. Shares in cruise operator Viking Holdings, which caters to English speakers over 55 and bans passengers younger than 18, rose 9 per cent on their market debut.

Strong demand from investors led Viking to increase the size of the deal twice before pricing for the second-largest IPO in the US this year. The upsized deal is likely to give hope to private equity groups, which are estimated to be sitting on 28,000 unsold companies, that are seeking to offload long-held investments. [Here's who made the money on this IPO](#).

3. Embraer is exploring options for a new passenger aircraft to rival Airbus and Boeing, people familiar with the situation said. The Brazilian aerospace and defence group is studying plans for a narrow-body aircraft or a long-range business jet, with a proposal ready for the company's board by the end of next year. [Here's more on the project, which is still in its early stages.](#)

4. US regulators are poised to approve ExxonMobil's \$60bn acquisition of Pioneer Natural Resources on the condition that the smaller oil company's former chief executive does not join the supermajor's board. The Federal Trade Commission had raised concerns about potential anti-competitive behaviour if Scott Sheffield joined Exxon's board, according to a person with knowledge of an agreement struck between regulators and the companies to approve the acquisition. [Here's more on the FTC allegations against Sheffield.](#)

More energy business news: Big shareholders in Shell have urged other investors [to back their resolution](#) at the upcoming annual meeting calling on the oil major to take more action to fight climate change.

5. US law firm Mayer Brown is to split its China operations from its global network, becoming the latest law company to rethink its business there as market conditions remain weak and tensions fray with the US. Mayer Brown, one of the world's top-grossing law firms, is working on a plan to hive off its Hong Kong, Shanghai and Beijing offices, according to two people close to the firm. [Here's more on the proposed split.](#)

Visual story

Stalled western aid and Russia's success in a primarily land-based war have made for a tough start to the year for Ukraine. But in the Black Sea, Kyiv continues to make progress. Despite having no real navy, Ukraine has disabled or destroyed a third of Russia's Black Sea fleet over the past two years. Our latest visual story explores [Ukraine's striking naval success](#) and its strategic and economic importance for a country dependent on seaborne trade.

We're also reading...

Berkshire after Buffett: The second part of our series on the company's future looks at Ajit Jain, the [risk "genius"](#) running Berkshire Hathaway's insurance operations.

Goldman Sachs: The head of JPMorgan's rapidly growing exchange traded funds business, Bryon Lake, [is to leave the bank](#) and join Goldman Sachs Asset Management.

Italian politics: Deputy premier Matteo Salvini is facing a [revolt within his far-right League party](#) after he picked a homophobic, pro-Russia candidate for EU elections.

Chart of the day

High flows of immigration into rich countries are helping to strengthen jobs markets and bolster growth, the OECD said today, as it [lifted its outlook for the global economy](#). Global growth is estimated to be 3.1 per cent this year, the OECD said, up from a previous estimate of 2.9 per cent. However, there is a clear transatlantic divergence in fortunes. The OECD upgraded its US growth forecast while keeping its eurozone predictions unchanged.

Take a break from the news

The Messi Experience is a nine-room, walk-through extravaganza of AI, 3D and CGI dedicated to arguably the greatest footballer of all time. Ruaridh Nicoll visits [the new “immersive” experience](#) in Miami.

A pep talk from an AI Lionel Messi in a recreation of a stadium dressing room © Bruno Aiello-Destombes

Additional contributions by Tee Zhuo and Benjamin Wilhelm

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